

COMMITTEE ON COMMERCE
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2397
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Section 33-440, Arizona Revised Statutes, is amended
3 to read:

4 33-440. Enforceability of private covenants; amendment of
5 declaration; definitions

6 A. An owner of real property may enter into a private covenant
7 regarding that real property and the private covenant is valid and
8 enforceable according to its terms if all of the following apply:

9 1. The private covenant is not prohibited by any other existing
10 private covenant or declaration affecting the real property, and does not
11 violate any statute governing the subject matter of the private covenant
12 that is in effect before September 26, 2008 AND DOES NOT VIOLATE PUBLIC
13 POLICY. COVENANTS THAT VIOLATE PUBLIC POLICY INCLUDE A COVENANT THAT:

14 (a) IS ARBITRARY, SPITEFUL OR CAPRICIOUS.

15 (b) UNREASONABLY BURDENS A FUNDAMENTAL RIGHT UNDER THE
16 CONSTITUTION.

17 (c) IMPOSES AN UNREASONABLE RESTRAINT ON ALIENATION OF PROPERTY.

18 (d) IMPOSES AN UNREASONABLE RESTRAINT ON TRADE OR COMPETITION.

19 (e) IS UNCONSCIONABLE.

20 2. The owner of the real property affected by the private covenant
21 and any person on whom the private covenant imposes any liability or
22 obligation have consented to the private covenant.

23 3. Any consent requirements contained in the express provisions of
24 any existing private covenant or declaration affecting the real property
25 have been met.

26 B. NOTWITHSTANDING ANY PROVISION OF A PRIVATE COVENANT TO THE
27 CONTRARY, ANY PROPERTY OWNER THAT IS SUBJECT TO THE PRIVATE COVENANT MAY
28 CHALLENGE THE VALIDITY OF ANY PROVISION IN THAT PRIVATE COVENANT IN A
29 COURT OF COMPETENT JURISDICTION.

~~1 B. C. A private covenant is deemed not to constitute an amendment
2 to any existing private covenant or declaration unless the private
3 covenant expressly violates an express provision of the existing private
4 covenant or declaration.~~

~~5 C. D. Except during the period of declarant control, or if during
6 the period of declarant control with the written consent of the declarant
7 in each instance, the following apply to an amendment to a declaration:~~

~~8 1. The declaration may be amended by the association, if any, or,
9 if there is no association or board, the owners of the property that is
10 subject to the declaration, by an affirmative vote or written consent of
11 the number of owners or eligible voters specified in the declaration,
12 including the assent of any individuals or entities that are specified in
13 the declaration.~~

~~14 2. An amendment to a declaration may apply to fewer than all of the
15 lots or less than all of the property that is bound by the declaration and
16 an amendment is deemed to conform to the general design and plan of the
17 community, if both of the following apply:~~

~~18 (a) The amendment receives the affirmative vote or written consent
19 of the number of owners or eligible voters specified in the declaration,
20 including the assent of any individuals or entities that are specified in
21 the declaration.~~

~~22 (b) The amendment receives the affirmative vote or written consent
23 of all of the owners of the lots or property to which the amendment
24 applies.~~

~~25 3. Within thirty days after the adoption of any amendment pursuant
26 to this subsection, the association or, if there is no association or
27 board, a property owner that is authorized by the affirmative vote or
28 the written consent to the amendment shall prepare, execute and record a
29 written instrument setting forth the amendment.~~

~~30 4. Notwithstanding any provision in the declaration that provides
31 for periodic renewal of the declaration, an amendment to the declaration
32 is effective immediately on recordation of the instrument in the county in
33 which the property is located.~~

~~34 D. E. Subsection C D of this section does not apply to a
35 condominium as defined in section 33-1202 or a timeshare plan or
36 association as defined in section 33-2202.~~

~~37 E. F. For the purposes of this section:~~

~~38 1. "Declaration" means any instrument, however denominated, that
39 establishes restrictive covenants on the development or use of real
40 property.~~

~~41 2. "Private covenant" means any uniform or nonuniform covenant,
42 restriction or condition regarding real property that is contained in any
43 deed, contract, agreement or other recorded instrument affecting real
44 property.~~

~~45 3. "SPITEFUL" MEANS THAT THE PURPOSE OF THE COVENANT WAS TO CAUSE
46 HARM TO ANOTHER RATHER THAN TO SECURE A BENEFIT TO THE CREATING PARTY.~~

1 ~~4. "UNREASONABLE RESTRAINT ON ALIENATION" MEANS ANY RESTRAINT ON~~
2 ~~ALIENATION TO WHICH EITHER OF THE FOLLOWING APPLIES:~~

3 ~~(a) THE INJURIOUS CONSEQUENCES OF THE RESTRAINT OUTWEIGH THE~~
4 ~~UTILITY OF THE RESTRAINT.~~

5 ~~(b) THE RESTRAINT HAS NO RATIONAL JUSTIFICATION OR IS~~
6 ~~UNCONSCIONABLE.>>~~

7 Section 1. Section 33-1260, Arizona Revised Statutes, is amended to
8 read:

9 33-1260. Sale of units; information required; fees; civil
10 penalty; applicability; definition

11 A. ~~[EXCEPT AS PRESCRIBED BY SUBSECTION I OF THIS SECTION,]~~ For
12 condominiums with fewer than fifty units, a unit owner shall ~~mail~~
13 ELECTRONICALLY TRANSMIT or deliver to a purchaser [or a purchaser's]
14 ~~authorized~~ [DESIGNATED] [agent] THE INFORMATION REQUIRED BY THIS
15 SUBSECTION within ten [CALENDAR] days after [receipt of a written notice
16 of a pending sale of the unit], ~~and~~ [ACCEPTANCE OF THE PURCHASER'S OFFER
17 TO PURCHASE. THE UNIT OWNER MAY REQUEST THE ASSOCIATION TO PROVIDE THE
18 UNIT OWNER WITH THE INFORMATION REQUIRED BY THIS SUBSECTION ON LISTING THE
19 UNIT FOR SALE]. For condominiums with fifty or more units, the
20 association shall ~~mail~~ ELECTRONICALLY TRANSMIT or deliver to a purchaser
21 [or a purchaser's] ~~authorized~~ [DESIGNATED] [agent] within ten [CALENDAR]
22 days after receipt of a written notice of a pending sale that contains the
23 name, EMAIL ADDRESS and MAILING address of the purchaser [OR THE
24 PURCHASER'S DESIGNATED AGENT] all of the following in either paper or
25 electronic format:

26 1. A copy of the CURRENT bylaws and the CURRENT rules of the
27 association.

28 2. A copy of the CURRENT RECORDED declaration AND [FINAL] PLAT[, OR
29 AN ELECTRONIC COPY OF THE FINAL PLAT, IF AVAILABLE].

30 [3. A COPY OF THE MINUTES OF ALL OPEN MEETINGS OF THE BOARD OF
31 DIRECTORS FOR THE PREVIOUS THREE MONTHS.]

32 ~~[3.]~~ [4.] A dated statement containing ~~[OR IDENTIFYING]:~~

33 (a) The telephone number and address of a principal contact for the
34 association, which may be an association manager, an association
35 management company, an officer of the association or any other person
36 designated by the board of directors.

37 (b) The amount of the ANNUAL common expense assessment for the
38 unit, ~~and~~ THE REQUIRED INSTALLMENTS AND PAYMENT SCHEDULES ON ANY APPROVED
39 SPECIAL ASSESSMENT [AND ANY REMAINING INSTALLMENTS ON THE SPECIAL
40 ASSESSMENT], IF ANY.

41 (c) THE ESTIMATED [DOLLAR] AMOUNT AND PURPOSE OF ANY [CONTEMPLATED
42 AND EITHER] APPROVED [AND RATIFIED OR ANTICIPATED TO BE APPROVED AND
43 RATIFIED] [BUT UNRATIFIED] SPECIAL ASSESSMENT [OR FINANCING BEING
44 DEVELOPED BY THE ASSOCIATION FOR ASSESSMENT] WITHIN THE [SUBSEQUENT]
45 [PREVIOUS] SIX MONTHS[, IF ANY].

46 (d) ANY KNOWN MATERIAL DEFICIENCY OR CONDITION OF THE LIMITED
47 COMMON ELEMENTS ASSOCIATED WITH THE UNIT OR COMMON ELEMENTS [KNOWN BY THE

1 ~~ASSOCIATION]~~ FOR WHICH THE PURCHASER WILL BE LIABLE FOR THE DIRECTLY
2 ASSESSED REPAIR COSTS WITHIN SIX MONTHS OF THE PURCHASE, IF ANY.

3 (e) THE CURRENT AMOUNT OF any unpaid common expense
4 assessment, special assessment or other assessment, fee or charge
5 currently due and payable from the selling unit owner. If the request is
6 made by a lienholder, escrow agent, unit owner or person designated by a
7 unit owner pursuant to section 33-1256, failure to provide the information
8 pursuant to this subdivision within the time provided for in this
9 subsection shall extinguish any lien for any unpaid assessment then due
10 against that unit LIEN OR JUDGMENT LIEN ON THE UNIT DUE TO THE ASSOCIATION
11 PURSUANT TO SECTION 33-1256 AND ANY LIS PENDENS RECORDED BY THE
12 ASSOCIATION AGAINST THE UNIT.

13 (c) A statement as to whether a portion of the unit is covered by
14 insurance maintained by the association.

15 (d) The total amount of money held by the association as reserves.

16 (e) If the statement is being furnished by the association, a
17 statement as to whether the records of the association reflect any
18 alterations or improvements to the unit that violate the declaration. The
19 association is not obligated to provide information regarding alterations
20 or improvements that occurred more than six years before the proposed
21 sale. Nothing in this subdivision relieves the seller of a unit from the
22 obligation to disclose alterations or improvements to the unit that
23 violate the declaration, nor precludes the association from taking action
24 against the purchaser of a unit for violations that are apparent at the
25 time of purchase and that are not reflected in the association's records.

26 (f) If the statement is being furnished by the unit owner, a
27 statement as to whether the unit owner has any knowledge of any
28 alterations or improvements to the unit that violate the declaration.

29 (g) A statement of case names and case numbers for pending
30 litigation with respect to the unit filed by the association against the
31 unit owner or filed by the unit owner against the association. The unit
32 owner or the association shall not be required to disclose information
33 concerning the pending litigation that would violate any applicable rule
34 of attorney-client privilege under Arizona law.

35 (h) A statement that provides "I hereby acknowledge that the
36 declaration, bylaws and rules of the association constitute a contract
37 between the association and me (the purchaser). By signing this
38 statement, I acknowledge that I have read and understand the association's
39 contract with me (the purchaser). I also understand that as a matter of
40 Arizona law, if I fail to pay my association assessments, the association
41 may foreclose on my property." The statement shall also include a
42 signature line for the purchaser and shall be returned to the association
43 within fourteen calendar days.

44 (f) THE AMOUNT AND PURPOSE OF ANY TITLE TRANSFER FEE OR OTHER
45 SIMILAR FEE, HOWEVER DENOMINATED, THAT IS AUTHORIZED IN THE DECLARATION
46 AND ESTABLISHED BY THE ASSOCIATION PURSUANT TO SECTION 33-442.

1 (g) A COPY OF THE ASSOCIATION'S MOST RECENT INCOME AND EXPENSES
2 FINANCIAL STATEMENT FOR ALL OPERATING AND RESERVE ACCOUNTS, AS APPLICABLE.

3 (h) ANY OUTSTANDING AND UNRESOLVED VIOLATION OF THE ASSOCIATION'S
4 CONDOMINIUM DOCUMENTS THAT WAS CITED AGAINST THE UNIT, IF ANY[, AND THAT
5 ~~THE SELLER IS RESPONSIBLE FOR APPEALING, RESOLVING OR ARRANGING FOR THE~~
6 ~~RESOLUTION OF ALL CITED VIOLATIONS~~].

7 ~~[4.]~~ [5.] A copy of the current operating budget of the
8 association.

9 ~~[5.]~~ [6.] A copy of the most recent annual ~~financial~~ AUDIT, REVIEW
10 OR COMPILATION report of the association PRESCRIBED BY SECTION 33-1243,
11 SUBSECTION J. If the report is more than ten pages, the association may
12 provide a summary of the report in lieu of the entire report.

13 ~~[6.]~~ [7.] A copy of the most recent reserve study OR LONG-RANGE
14 PLAN AND THE ASSOCIATED FUNDING STRATEGY of the association, if any. IF
15 THE REPORT IS MORE THAN TEN PAGES, THE ASSOCIATION MAY PROVIDE A SUMMARY
16 OF THE REPORT IN LIEU OF THE ENTIRE REPORT.

17 ~~[7.]~~ [8.] A statement summarizing any pending lawsuits, except
18 those relating to the collection of assessments owed by unit owners other
19 than the selling unit owner, in which the association is a named party,
20 including the amount of any money claimed.

21 ~~[8.]~~ [9.] A STATEMENT AS TO WHETHER A PORTION OF THE UNIT IS
22 COVERED BY INSURANCE MAINTAINED BY THE ASSOCIATION AND A COPY OF ALL
23 INSURANCE CERTIFICATES IDENTIFYING THE COVERAGE LIMITS AND DEDUCTIBLES
24 MAINTAINED BY THE ASSOCIATION PURSUANT TO SECTION 33-1253.

25 ~~[9.]~~ [10.] A STATEMENT AS TO WHETHER THE CONDOMINIUM IS UNDER
26 DECLARANT CONTROL AND THE PERCENTAGE OF UNITS IDENTIFIED ON THE RECORDED
27 PLAT THAT ARE CURRENTLY OWNED BY THE DECLARANT.

28 ~~[10.]~~ [11.] A STATEMENT IDENTIFYING WHETHER ANY ~~[OWNER OR ENTITY~~
29 ~~OTHER THAN THE DECLARANT]~~ [CORPORATION, LIMITED LIABILITY COMPANY OR
30 TRUST] OWNS ~~[TWENTY-FIVE]~~ [THIRTY-FIVE] PERCENT OR MORE OF THE UNITS.

31 ~~[11.]~~ [12.] A STATEMENT THAT, FOR ANY REPORT PROVIDED IN SUMMARY
32 FORMAT PURSUANT TO THIS SUBSECTION, THE PURCHASER MAY REQUEST TO VIEW THE
33 ENTIRE REPORT FROM THE ASSOCIATION DIRECTLY, AND THE ASSOCIATION SHALL
34 PROVIDE ACCESS TO THAT REPORT WITHIN THREE BUSINESS DAYS AFTER A WRITTEN
35 REQUEST.

36 ~~[12.]~~ [13.] A STATEMENT TO BE SIGNED BY THE PURCHASER AT THE CLOSE
37 OF ESCROW THAT PROVIDES "I HEREBY ACKNOWLEDGE THAT WITH THE PURCHASE OF
38 THIS HOME OR PROPERTY, I WILL BE CONTRACTUALLY BOUND TO THE VALID
39 COVENANTS, CONDITIONS AND RESTRICTIONS OF THE RECORDED DECLARATION, AND
40 WILL BE [CONTRACTUALLY] BOUND TO PAY ALL COMMON EXPENSE ASSESSMENTS
41 APPLIED TO MY HOME OR PROPERTY AS AUTHORIZED IN THE DECLARATION AND TITLE
42 33, CHAPTER 9 OR 16, ARIZONA REVISED STATUTES, AS APPLICABLE. IF I FAIL
43 TO PAY COMMON EXPENSE ASSESSMENTS, I MAY BE SUBJECT TO COLLECTION ACTIVITY
44 BY THE ASSOCIATION UP TO AND INCLUDING FORECLOSURE ACTION, WITHOUT THE
45 EQUITY PROTECTION OF THE HOMESTEAD ACT PURSUANT TO TITLE 33, CHAPTER 8,
46 ARIZONA REVISED STATUTES."

1 ~~[B. WITHIN FIVE CALENDAR DAYS AFTER THE RECEIPT OF THE DISCLOSURE~~
2 ~~REPORT PRESCRIBED BY SUBSECTION A OF THIS SECTION, THE PURCHASER MAY~~
3 ~~ACCEPT THE INFORMATION, PROPOSE A CURE TO ADDRESS ANY CONCERNS IDENTIFIED~~
4 ~~IN THE REPORT OR WITHDRAW THE OFFER WITHOUT PENALTY OR LOSS OF EARNEST~~
5 ~~MONEY. IF A CONTRACT IS CANCELED FOR ANY REASON, THE COMPLETE DISCLOSURE~~
6 ~~REPORT SHALL BE RETURNED TO THE SELLER.]~~

7 ~~[B.] [C.]~~ A purchaser or seller who is damaged by ~~the failure of~~
8 the unit owner or the association ~~[KNOWINGLY OR RECKLESSLY]~~ FAILING to
9 disclose the information required by subsection A of this section OR
10 ~~[KNOWINGLY OR RECKLESSLY]~~ PROVIDING MATERIALLY FALSE OR MISLEADING
11 STATEMENTS IN THE DISCLOSURE may pursue all remedies at law or in equity
12 against the unit owner~~[, THE MANAGING AGENT FOR THE ASSOCIATION]~~ or the
13 association, whichever failed to comply with subsection A of this section
14 ~~[OR PROVIDED FALSE OR MISLEADING STATEMENTS IN THE DISCLOSURE]~~, including
15 the recovery of reasonable attorney fees AS AWARDED BY THE COURT.

16 ~~[D.] [C.]~~ THE ASSOCIATION SHALL PROVIDE TO AN ESCROW AGENT THAT IS
17 LICENSED PURSUANT TO TITLE 6, CHAPTER 7 AND THAT IS DESIGNATED FOR THE
18 TRANSACTION ANY REQUESTED INFORMATION THAT IS RELEVANT TO THE CLOSE OF
19 ESCROW, SUBJECT TO AND PURSUANT TO SECTION 33-1256 ~~[AT NO COST TO THE~~
20 ~~ESCROW AGENT OR ADDITIONAL COST TO THE SELLER OR BUYER]~~ ~~[AND MAY CHARGE~~
21 ~~THE FEES AUTHORIZED BY THIS SECTION].~~

22 ~~C. [E.] [D.]~~ ~~[IF THE ASSOCIATION PROVIDED THE DISCLOSURE REPORT~~
23 ~~REQUESTED BY THE UNIT OWNER,]~~ The association may charge the unit owner a
24 fee of not more than an aggregate of ~~four hundred dollars~~ \$400 to
25 compensate the association for the costs incurred in the preparation and
26 delivery of a ~~statement~~ REPORT or other documents furnished by the
27 association pursuant to this section for purposes of resale disclosure,
28 lien estoppel and any other services related to the transfer or use of the
29 property. In addition, the association may charge a rush fee of not more
30 than ~~one hundred dollars~~ \$100 if the rush services are required to be
31 performed within seventy-two hours after the request for rush services.
32 ~~, and~~ THE UNIT OWNER may REQUEST THE ASSOCIATION TO UPDATE THE REPORT IF
33 THIRTY DAYS OR MORE HAVE PASSED SINCE THE DATE OF THE ORIGINAL DISCLOSURE
34 REPORT. THE ASSOCIATION MAY charge a ~~statement or other documents~~
35 DOCUMENT update fee of not more than ~~fifty dollars if thirty days or more~~
36 ~~have passed since the date of the original disclosure statement or the~~
37 ~~date the documents were delivered~~ \$50. The association shall make
38 available to any interested party the amount of any fee established from
39 time to time by the association. ~~If the aggregate fee for purposes of~~
40 ~~resale disclosure, lien estoppel and any other services related to the~~
41 ~~transfer or use of a property is less than four hundred dollars on January~~
42 ~~1, 2010, the fee may increase at a rate of not more than twenty percent~~
43 ~~per year based on the immediately preceding fiscal year's amount not to~~
44 ~~exceed the four hundred dollar aggregate fee.~~ The association may charge
45 the same fee without regard to whether the association is furnishing the
46 statement or other documents in paper or electronic format.

~~1 [F. IF THE ASSOCIATION WAS NOT REQUESTED TO PROVIDE THE DISCLOSURE~~
~~2 REPORT PRESCRIBED BY SUBSECTION A OF THIS SECTION, THE ASSOCIATION MAY~~
~~3 CHARGE A NOMINAL FEE TO THE PURCHASER TO COMPENSATE THE ASSOCIATION FOR~~
~~4 THE COST OF UPDATING THE NEW OWNER INFORMATION IN THE ASSOCIATION RECORDS,~~
~~5 COMMENSURATE WITH THE DIRECT COST INCURRED.]~~

6 ~~D.~~ [G.] [E.] The fees prescribed by this section shall be
7 collected ~~no~~ NOT earlier than at the close of escrow and may only be
8 charged once to a unit owner OR PURCHASER for that transaction between the
9 parties ~~specified in the notice required pursuant to subsection A of this~~
10 ~~section. [ANY PAYMENT SHALL BE MADE DIRECTLY AND ONLY TO THE~~
11 ~~ASSOCIATION.]~~ An association shall not charge or collect a fee relating
12 to services for resale disclosure, lien estoppel and any other services
13 related to the transfer or use of a property except as specifically
14 authorized in this section. An association that charges or collects a fee
15 in violation of this section is subject to a civil penalty of not more
16 than ~~one thousand two hundred dollars~~ \$1,200.

17 ~~E.~~ [H.] [F.] This section applies to a managing agent for an
18 association that is acting on behalf of the association.

19 ~~I. FOR THE INITIAL SALE OF A CONDOMINIUM UNIT FROM THE DECLARANT,~~
20 ~~THE DECLARANT SHALL PROVIDE TO ANY PURCHASER WITHIN THE TIME PRESCRIBED BY~~
21 ~~SUBSECTION A OF THIS SECTION THE DOCUMENTS PRESCRIBED IN SUBSECTION A,~~
22 ~~PARAGRAPHS 1, 2 AND 12 OF THIS SECTION.]~~

23 ~~F.~~ [J.] [G.] The following are exempt from this section:

24 1. A sale in which a public report is issued pursuant to section
25 32-2183 or 32-2197.02.

26 2. A sale pursuant to section 32-2181.02.

27 3. A conveyance by recorded deed that bears an exemption listed in
28 section 11-1134, subsection B, paragraph 3 or 7. On recordation of the
29 deed ~~and for no additional charge~~, the ~~unit owner~~ PURCHASER shall provide
30 the association with the changes in ownership, including the unit owner's
31 name, billing address and phone number. Failure to provide the
32 information shall not prevent the unit owner from qualifying for the
33 exemption pursuant to this section.

34 ~~G.~~ [K.] [H.] This section does not apply to timeshare plans or
35 associations that are subject to chapter 20 of this title.

36 ~~H.~~ [L.] [I.] For the purposes of this section, unless the context
37 otherwise requires, "unit owner":

38 1. Means the seller of the condominium unit title. ~~and excludes~~

39 2. DOES NOT INCLUDE:

40 (a) Any real estate salesperson or real estate broker who is
41 licensed under title 32, chapter 20 and who is acting as a salesperson or
42 broker. , -

43 (b) Any escrow agent who is licensed under title 6, chapter 7 and
44 who is acting as an escrow agent. ~~and also excludes~~

45 (c) A trustee of a deed of trust who is selling the property in a
46 trustee's sale pursuant to chapter 6.1 of this title.

1 ~~<<Sec. 3. Section 33-1802, Arizona Revised Statutes, is amended to~~
2 ~~read:~~

3 ~~33-1802. Definitions~~

4 ~~In this chapter and in the community documents, unless the context~~
5 ~~otherwise requires:~~

6 ~~1. "Association":~~

7 ~~(a) Means a nonprofit corporation or unincorporated association of~~
8 ~~owners that is created pursuant to a declaration to own and operate~~
9 ~~portions of a planned community and that has the power under the~~
10 ~~declaration to assess association members to pay the costs and expenses~~
11 ~~incurred in the performance of the association's obligations under the~~
12 ~~declaration.~~

13 ~~(b) Does not include a nonprofit corporation or unincorporated~~
14 ~~association of owners that is created or incorporated before January 1,~~
15 ~~1974 and that does not have authority to enforce covenants, conditions or~~
16 ~~restrictions related to the use, occupancy or appearance of the separately~~
17 ~~owned lots, parcels or units in a real estate development, unless the~~
18 ~~nonprofit corporation or unincorporated association of owners elects to be~~
19 ~~subject to this chapter pursuant to section 33-1801, subsection D.~~

20 ~~2. "Common expense lien" means the lien for assessments, charges~~
21 ~~for late payment of assessments if authorized in the declaration,~~
22 ~~reasonable collection fees and costs THAT ARE incurred or applied by the~~
23 ~~association and reasonable attorney fees and costs that are incurred with~~
24 ~~respect to those assessments, if the attorney fees and costs are awarded~~
25 ~~by a court.~~

26 ~~3. "Community documents" means the declaration, bylaws, articles of~~
27 ~~incorporation, if any, and rules, if any.~~

28 ~~4. "Declaration" means any instruments, however denominated, that~~
29 ~~establish a planned community and any amendment to those instruments.~~

30 ~~5. "MEMBER" MEANS THE OWNER OF RECORD OF ANY INDIVIDUALLY OWNED~~
31 ~~PROPERTY THAT IS SUBJECT TO THE DECLARATION IN A PLANNED COMMUNITY.~~

32 ~~5. 6. "Member expenses":~~

33 ~~(a) Means fees, charges, late charges and monetary penalties or~~
34 ~~interest.~~

35 ~~(b) Does not include any amount that is included in a common~~
36 ~~expense lien.~~

37 ~~6. 7. "Planned community":~~

38 ~~(a) Means a real estate development that includes real estate THAT~~
39 ~~IS SUBJECT TO A DECLARATION AND THAT IS owned and operated by or real~~
40 ~~estate on which an easement to maintain roadways or a covenant to maintain~~
41 ~~roadways is held by a nonprofit corporation or unincorporated association~~
42 ~~of owners, that is created for the purpose of managing, maintaining or~~
43 ~~improving the property and in which the declaration expressly states both~~
44 ~~that the owners of separately owned lots, parcels or units are mandatory~~
45 ~~members and that the owners are required to pay MANDATORY assessments to~~
46 ~~the association for these purposes.~~

47 ~~(b) Does not include any of the following:~~

1 ~~(i) A timeshare plan or a timeshare association that is governed by~~
2 ~~chapter 20 of this title.~~

3 ~~(ii) A condominium that is governed by chapter 9 of this title.~~

4 ~~(iii) A real estate development that is not managed or maintained~~
5 ~~by an association.>>~~

6 ~~<<Sec. 4. Section 33-1803, Arizona Revised Statutes, is amended to~~
7 ~~read:~~

8 ~~33-1803. Third-party property; voluntary assessments;~~
9 ~~assessment limitation; penalties; notice to member~~
10 ~~of violation~~

11 ~~A. ANY PROVISION OF A DECLARATION THAT WOULD IMPOSE MANDATORY~~
12 ~~ASSESSMENTS FOR MEMBERSHIP IN A PRIVATE RECREATIONAL CLUB OR FOR THE~~
13 ~~MAINTENANCE OR USE OF SEPARATE PUBLIC OR PRIVATE PROPERTY THAT IS NOT~~
14 ~~OWNED BY THE ASSOCIATION IS INVALID AND UNENFORCEABLE AS A MATTER OF LAW.~~
15 ~~ANY PROVISION PRESCRIBED BY THIS SUBSECTION CREATES BOTH AN UNREASONABLE~~
16 ~~RESTRAINT ON ALIENATION AND AN UNREASONABLE RESTRAINT ON TRADE OR~~
17 ~~COMPETITION AND THE FOLLOWING APPLY:~~

18 ~~1. ON THE EFFECTIVE DATE OF THIS AMENDMENT TO THIS SECTION, THE~~
19 ~~BOARD OF DIRECTORS OF ANY ASSOCIATION THAT HAS A DECLARATION THAT CONTAINS~~
20 ~~SUCH A PROVISION SHALL REMOVE THAT PROVISION BY AMENDMENT TO THE~~
21 ~~DECLARATION.~~

22 ~~2. NOTWITHSTANDING ANY PROVISION OF THE COMMUNITY DOCUMENTS, THE~~
23 ~~ASSOCIATION MAY NOT USE COMMON EXPENSE ASSESSMENTS FOR THE MAINTENANCE,~~
24 ~~USE OR SUBSIDY OF THIRD-PARTY PUBLIC OR PRIVATE PROPERTY THAT IS NOT~~
25 ~~DIRECTLY OWNED BY THE ASSOCIATION.~~

26 ~~B. IF EMERGENCY MEASURES MUST BE TAKEN WITH RESPECT TO THIRD-PARTY~~
27 ~~PUBLIC OR PRIVATE PROPERTY TO MAINTAIN ACCESS TO THE ASSOCIATION'S~~
28 ~~PROPERTY, THE ASSOCIATION MAY AUTHORIZE THE USE OF ASSOCIATION RESOURCES~~
29 ~~OR MONIES TO EFFECT THE EMERGENCY REPAIRS, BUT SHALL BILL THE PUBLIC OR~~
30 ~~PRIVATE ENTITY THAT OWNS THE SEPARATE PROPERTY FOR THE COSTS OF THE~~
31 ~~REPAIRS.~~

32 ~~C. THE ASSOCIATION MAY PROVIDE FOR VOLUNTARY ASSESSMENTS ON~~
33 ~~INDIVIDUAL PROPERTY FOR THE USE OF THIRD-PARTY PROPERTY, RECREATIONAL~~
34 ~~FACILITIES OR OTHER FACILITIES.~~

35 ~~A. D. Unless limitations in the community documents would result~~
36 ~~in a lower limit for the assessment, the association shall not impose a~~
37 ~~regular assessment that is more than twenty percent greater than the~~
38 ~~immediately preceding fiscal year's assessment without the approval of the~~
39 ~~majority of the members of the association. Unless reserved to the~~
40 ~~members of the association, the board of directors may impose reasonable~~
41 ~~charges for the late payment of assessments. A payment by a member is~~
42 ~~deemed late if it is unpaid fifteen or more days after its due date,~~
43 ~~unless the community documents provide for a longer period. Charges for~~
44 ~~the late payment of assessments are limited to the greater of fifteen~~
45 ~~dollars \$15 or ten percent of the amount of the unpaid assessment and may~~
46 ~~be imposed only after the association has provided notice that the~~
47 ~~assessment is overdue or provided notice that the assessment is considered~~

1 ~~overdue after a certain date. Any monies paid by the member for an unpaid~~
2 ~~assessment shall be applied first to the principal amount unpaid and then~~
3 ~~to the interest accrued.~~

4 ~~B. E. After notice and an opportunity to be heard, the board of~~
5 ~~directors may impose reasonable monetary penalties on members for~~
6 ~~violations of the declaration, bylaws and rules of the~~
7 ~~association. Notwithstanding any provision in the community documents,~~
8 ~~the board of directors shall not impose a charge for a late payment of a~~
9 ~~penalty that exceeds the greater of fifteen dollars \$15 or ten percent of~~
10 ~~the amount of the unpaid penalty. A payment is deemed late if it is~~
11 ~~unpaid fifteen or more days after its due date, unless the declaration,~~
12 ~~bylaws or rules of the association provide for a longer period. Any~~
13 ~~monies paid by a member for an unpaid penalty shall be applied first to~~
14 ~~the principal amount unpaid and then to the interest accrued. Notice~~
15 ~~pursuant to this subsection shall include information pertaining to the~~
16 ~~manner in which the penalty shall be enforced.~~

17 ~~C. F. A member who receives a written notice that the condition of~~
18 ~~the property owned by the member is in violation of the community~~
19 ~~documents without regard to whether a monetary penalty is imposed by the~~
20 ~~notice may provide the association with a written response by sending the~~
21 ~~response by certified mail within twenty-one calendar days after the date~~
22 ~~of the notice. The response shall be sent to the address identified in~~
23 ~~the notice.~~

24 ~~D. G. Within ten business days after receipt of the certified mail~~
25 ~~containing the response from the member, the association shall respond to~~
26 ~~the member with a written explanation regarding the notice that shall~~
27 ~~provide at least the following information unless previously provided in~~
28 ~~the notice of violation:~~

29 ~~1. The provision of the community documents that has allegedly been~~
30 ~~violated.~~

31 ~~2. The date of the violation or the date the violation was~~
32 ~~observed.~~

33 ~~3. The first and last name of the person or persons who observed~~
34 ~~the violation.~~

35 ~~4. The process the member must follow to contest the notice.~~

36 ~~E. H. Unless the information required in subsection D G,~~
37 ~~paragraph 4 of this section is provided in the notice of violation, the~~
38 ~~association shall not proceed with any action to enforce the community~~
39 ~~documents, including the collection of attorney fees, before or during the~~
40 ~~time prescribed by subsection D G of this section regarding the exchange~~
41 ~~of information between the association and the member and shall give the~~
42 ~~member written notice of the member's option to petition for an~~
43 ~~administrative hearing on the matter in the state real estate department~~
44 ~~pursuant to section 32-2199.01. At any time before or after completion of~~
45 ~~the exchange of information pursuant to this section, the member may~~
46 ~~petition for a hearing pursuant to section 32-2199.01 if the dispute is~~

1 ~~within the jurisdiction of the state real estate department as prescribed~~
2 ~~in section 32-2199.01.>>~~

3 Sec. 2. Section 33-1806, Arizona Revised Statutes, is amended to
4 read:

5 33-1806. Sale of properties; information required; fees;
6 civil penalty; definition

7 A. ~~[EXCEPT AS PRESCRIBED BY SUBSECTION I OF THIS SECTION,]~~ For
8 planned communities with fewer than fifty ~~units~~ **PROPERTIES**, a member shall
9 ~~mail~~ **ELECTRONICALLY TRANSMIT** or deliver to a purchaser ~~[or a purchaser's]~~
10 ~~authorized~~ **[DESIGNATED] [agent]** **THE INFORMATION REQUIRED BY THIS**
11 **SUBSECTION** within ten ~~[CALENDAR]~~ days after ~~[receipt of a written notice~~
12 ~~of a pending sale of the] unit, and [PROPERTY] [ACCEPTANCE OF THE~~
13 ~~PURCHASER'S OFFER TO PURCHASE. THE MEMBER MAY REQUEST THE ASSOCIATION TO~~
14 ~~PROVIDE THE MEMBER WITH THE INFORMATION REQUIRED BY THIS SUBSECTION ON~~
15 ~~LISTING THE MEMBER'S PROPERTY FOR SALE].~~ For planned communities with
16 fifty or more ~~units~~ **PROPERTIES**, the association shall ~~mail~~ **ELECTRONICALLY**
17 **TRANSMIT** or deliver to a purchaser ~~[or a purchaser's]~~ **authorized**
18 **[DESIGNATED] [agent]** within ten **CALENDAR** days after receipt of a written
19 notice of a pending sale that contains the name, **EMAIL ADDRESS** and **MAILING**
20 address of the purchaser ~~[OR THE PURCHASER'S DESIGNATED AGENT]~~ all of the
21 following in either paper or electronic format:

22 1. A copy of the **CURRENT** bylaws and the **CURRENT** rules of the
23 association.

24 2. A copy of the **CURRENT** declaration **AND [FINAL] PLAT[, OR AN**
25 **ELECTRONIC COPY OF THE FINAL PLAT, IF AVAILABLE].**

26 ~~[3. A COPY OF THE MINUTES OF ALL OPEN MEETINGS OF THE BOARD OF~~
27 ~~DIRECTORS FOR THE PREVIOUS THREE MONTHS.]~~

28 ~~[3.] [4.]~~ A dated statement containing ~~[OR IDENTIFYING]:~~

29 (a) The telephone number and address of a principal contact for the
30 association, which may be an association manager, an association
31 management company, an officer of the association or any other person
32 designated by the board of directors.

33 (b) The amount of the **ANNUAL** common regular assessment and the
34 **REQUIRED INSTALLMENTS AND PAYMENT SCHEDULES ON ANY APPROVED SPECIAL**
35 **ASSESSMENT** ~~[AND ANY REMAINING INSTALLMENTS ON THE SPECIAL ASSESSMENT, IF~~
36 ~~ANY].~~

37 (c) **THE ESTIMATED [DOLLAR] AMOUNT AND PURPOSE OF ANY [CONTEMPLATED,**
38 ~~AND EITHER] APPROVED [AND RATIFIED OR ANTICIPATED TO BE APPROVED AND~~
39 ~~RATIFIED] [BUT UNRATIFIED] SPECIAL ASSESSMENT [OR FINANCING BEING~~
40 ~~DEVELOPED BY THE ASSOCIATION FOR ASSESSMENT] WITHIN THE [SUBSEQUENT]~~
41 ~~[PREVIOUS] SIX MONTHS[, IF ANY].~~

42 (d) **THE CURRENT AMOUNT OF ANY** unpaid common regular
43 assessment, ~~special assessment or other assessment, fee or charge~~
44 ~~currently due and payable from the selling member. If the request is made~~
45 ~~by a lienholder, escrow agent, member or person designated by a member~~
46 ~~pursuant to section 33-1807, failure to provide the information pursuant~~
47 ~~to this subdivision within the time provided for in this subsection shall~~

1 ~~extinguish any lien for any unpaid assessment then due against that~~
2 ~~property~~ LIEN OR JUDGMENT LIEN ON THE PROPERTY DUE TO THE ASSOCIATION
3 PURSUANT TO SECTION 33-1807 AND ANY LIS PENDENS RECORDED BY THE
4 ASSOCIATION AGAINST THE PROPERTY.

5 ~~(c) A statement as to whether a portion of the unit is covered by~~
6 ~~insurance maintained by the association.~~

7 ~~(d) The total amount of money held by the association as reserves.~~

8 ~~(e) If the statement is being furnished by the association, a~~
9 ~~statement as to whether the records of the association reflect any~~
10 ~~alterations or improvements to the unit that violate the declaration. The~~
11 ~~association is not obligated to provide information regarding alterations~~
12 ~~or improvements that occurred more than six years before the proposed~~
13 ~~sale. Nothing in this subdivision relieves the seller of a unit from the~~
14 ~~obligation to disclose alterations or improvements to the unit that~~
15 ~~violate the declaration, nor precludes the association from taking action~~
16 ~~against the purchaser of a unit for violations that are apparent at the~~
17 ~~time of purchase and that are not reflected in the association's records.~~

18 ~~(f) If the statement is being furnished by the member, a statement~~
19 ~~as to whether the member has any knowledge of any alterations or~~
20 ~~improvements to the unit that violate the declaration.~~

21 ~~(g) A statement of case names and case numbers for pending~~
22 ~~litigation with respect to the unit filed by the association against the~~
23 ~~member or filed by the member against the association. The member shall~~
24 ~~not be required to disclose information concerning such pending litigation~~
25 ~~that would violate any applicable rule of attorney-client privilege under~~
26 ~~Arizona law.~~

27 ~~(h) A statement that provides "I hereby acknowledge that the~~
28 ~~declaration, bylaws and rules of the association constitute a contract~~
29 ~~between the association and me (the purchaser). By signing this~~
30 ~~statement, I acknowledge that I have read and understand the association's~~
31 ~~contract with me (the purchaser). I also understand that as a matter of~~
32 ~~Arizona law, if I fail to pay my association assessments, the association~~
33 ~~may foreclose on my property." The statement shall also include a~~
34 ~~signature line for the purchaser and shall be returned to the association~~
35 ~~within fourteen calendar days.~~

36 (e) THE AMOUNT AND PURPOSE OF ANY TITLE TRANSFER FEE OR OTHER
37 SIMILAR FEE, HOWEVER DENOMINATED, THAT IS AUTHORIZED IN THE DECLARATION
38 AND ESTABLISHED BY THE ASSOCIATION PURSUANT TO SECTION 33-442.

39 (f) A COPY OF THE ASSOCIATION'S MOST RECENT INCOME AND EXPENSES
40 FINANCIAL STATEMENT FOR ALL OPERATING AND RESERVE ACCOUNTS, AS APPLICABLE.

41 (g) ANY OUTSTANDING AND UNRESOLVED VIOLATION OF THE ASSOCIATION'S
42 COMMUNITY DOCUMENTS THAT WAS CITED AGAINST THE PROPERTY, IF ANY[, AND THAT
43 THE SELLER IS RESPONSIBLE FOR APPEALING, RESOLVING OR ARRANGING FOR THE
44 RESOLUTION OF ALL CITED VIOLATIONS].

45 [4.] [5.] A copy of the current operating budget of the
46 association.

1 ~~[5.]~~ [6.] A copy of the most recent annual ~~financial~~ AUDIT, REVIEW
2 OR ~~[COMPIRATION]~~ [COMPIRATION] report of the association PURSUANT TO
3 SECTION 33-1810. If the report is more than ten pages, ~~the association~~
4 ~~may provide~~ a summary of the report ~~in lieu~~ MAY BE PROVIDED IN PLACE of
5 the entire report.

6 ~~[6.]~~ [7.] A copy of the most recent reserve study OR LONG-RANGE
7 PLAN AND ASSOCIATED FUNDING STRATEGY of the association, if any. IF THE
8 REPORT IS MORE THAN TEN PAGES, THE ASSOCIATION MAY PROVIDE A SUMMARY OF
9 THE REPORT IN PLACE OF THE ENTIRE REPORT.

10 ~~[7.]~~ [8.] A statement summarizing any pending lawsuits, except
11 those relating to the collection of assessments owed by members other than
12 the selling member, in which the association is a named party, including
13 the amount of any money claimed.

14 ~~[8.]~~ [9.] A STATEMENT AS TO WHETHER THE PLANNED COMMUNITY IS UNDER
15 DECLARANT CONTROL AND THE PERCENTAGE OF LOTS IDENTIFIED ON THE RECORDED
16 PLAT THAT ARE CURRENTLY OWNED BY THE DECLARANT.

17 ~~[9.]~~ [10.] A STATEMENT THAT, FOR ANY REPORT PROVIDED IN SUMMARY
18 FORMAT PURSUANT TO THIS SUBSECTION, THE PURCHASER MAY REQUEST TO VIEW THE
19 ENTIRE REPORT FROM THE ASSOCIATION DIRECTLY, AND THE ASSOCIATION SHALL
20 PROVIDE ACCESS TO THAT REPORT WITHIN THREE BUSINESS DAYS AFTER A WRITTEN
21 REQUEST.

22 ~~[10.]~~ [11.] A STATEMENT TO BE SIGNED BY THE PURCHASER AT THE CLOSE
23 OF ESCROW THAT PROVIDES "I HEREBY ACKNOWLEDGE THAT WITH THE PURCHASE OF
24 THIS HOME OR PROPERTY, I WILL BE CONTRACTUALLY BOUND TO THE VALID
25 COVENANTS, CONDITIONS AND RESTRICTIONS OF THE RECORDED DECLARATION, AND
26 WILL BE [CONTRACTUALLY] BOUND TO PAY ALL COMMON EXPENSE ASSESSMENTS
27 APPLIED TO MY HOME OR PROPERTY AS AUTHORIZED IN THE DECLARATION AND TITLE
28 33, CHAPTER 9 OR 16, ARIZONA REVISED STATUTES, AS APPLICABLE. IF I FAIL
29 TO PAY COMMON EXPENSE ASSESSMENTS, I MAY BE SUBJECT TO COLLECTION ACTIVITY
30 BY THE ASSOCIATION UP TO AND INCLUDING FORECLOSURE ACTION, WITHOUT THE
31 EQUITY PROTECTION OF THE HOMESTEAD ACT PURSUANT TO TITLE 33, CHAPTER 8,
32 ARIZONA REVISED STATUTES."

33 ~~[B. WITHIN FIVE CALENDAR DAYS AFTER THE RECEIPT OF THE DISCLOSURE~~
34 ~~REPORT PRESCRIBED BY SUBSECTION A OF THIS SECTION, THE PURCHASER MAY~~
35 ~~ACCEPT THE INFORMATION, PROPOSE A CURE TO ADDRESS ANY CONCERNS IDENTIFIED~~
36 ~~IN THE REPORT OR WITHDRAW THE OFFER WITHOUT PENALTY OR LOSS OF EARNEST~~
37 ~~MONEY. IF A CONTRACT IS CANCELED FOR ANY REASON, THE COMPLETE DISCLOSURE~~
38 ~~REPORT SHALL BE RETURNED TO THE SELLER.]~~

39 [B.] ~~[C.]~~ A purchaser or seller who is damaged by ~~the failure of~~
40 the member or the association [KNOWINGLY OR RECKLESSLY] FAILING to
41 disclose the information required by subsection A of this section OR
42 [KNOWINGLY OR RECKLESSLY] PROVIDING MATERIALLY FALSE OR MISLEADING
43 STATEMENTS IN THE DISCLOSURE may pursue all remedies at law or in equity
44 against the member~~[, THE MANAGING AGENT FOR THE ASSOCIATION]~~ or the
45 association, whichever failed to comply with subsection A of this section
46 ~~[OR PROVIDED MATERIALLY FALSE OR MISLEADING STATEMENTS IN THE DISCLOSURE],~~

1 including the recovery of reasonable attorney fees AS AWARDED BY THE
2 COURT.

3 ~~[D.] [C.]~~ THE ASSOCIATION SHALL PROVIDE TO AN ESCROW AGENT THAT IS
4 LICENSED PURSUANT TO TITLE 6, CHAPTER 7 AND THAT IS DESIGNATED FOR THE
5 TRANSACTION ANY REQUESTED INFORMATION THAT IS RELEVANT TO THE CLOSE OF
6 ESCROW, SUBJECT TO AND PURSUANT TO SECTION 33-1807 ~~[AT NO COST TO THE~~
7 ~~ESCROW AGENT OR ADDITIONAL COST TO THE SELLER OR BUYER]~~ ~~[AND MAY CHARGE~~
8 ~~THE FEES AUTHORIZED BY THIS SECTION].~~

9 ~~C. [E.] [D.] [IF THE ASSOCIATION PROVIDED THE DISCLOSURE REPORT~~
10 ~~REQUESTED BY THE MEMBER,]~~ The association may charge the member a fee of
11 not more than an aggregate of ~~four hundred dollars~~ \$400 to compensate the
12 association for the costs incurred in the preparation and delivery of a
13 ~~statement~~ REPORT or other documents furnished by the association pursuant
14 to this section for purposes of resale disclosure, lien estoppel and any
15 other services related to the transfer or use of the property. In
16 addition, the association may charge a rush fee of not more than ~~one~~
17 ~~hundred dollars~~ \$100 if the rush services are required to be performed
18 within seventy-two hours after the request for rush services. ~~, and THE~~
19 MEMBER may REQUEST THE ASSOCIATION TO UPDATE THE REPORT IF THIRTY DAYS OR
20 MORE HAVE PASSED SINCE THE DATE OF THE ORIGINAL DISCLOSURE REPORT. THE
21 ASSOCIATION MAY charge a ~~statement or other documents~~ DOCUMENT update fee
22 of not more than ~~fifty dollars if thirty days or more have passed since~~
23 ~~the date of the original disclosure statement or the date the documents~~
24 ~~were delivered~~ \$50. The association shall make available to any
25 interested party the amount of any fee established from time to time by
26 the association. ~~If the aggregate fee for purposes of resale disclosure,~~
27 ~~lien estoppel and any other services related to the transfer or use of a~~
28 ~~property is less than four hundred dollars on January 1, 2010, the fee may~~
29 ~~increase at a rate of not more than twenty percent per year based on the~~
30 ~~immediately preceding fiscal year's amount not to exceed the four hundred~~
31 ~~dollar aggregate fee.~~ The association may charge the same fee without
32 regard to whether the association is furnishing the statement or other
33 documents in paper or electronic format.

34 ~~[F. IF THE ASSOCIATION WAS NOT REQUESTED TO PROVIDE THE DISCLOSURE~~
35 ~~REPORT PRESCRIBED BY SUBSECTION A OF THIS SECTION, THE ASSOCIATION MAY~~
36 ~~CHARGE A NOMINAL FEE TO THE PURCHASER TO COMPENSATE THE ASSOCIATION FOR~~
37 ~~THE COST OF UPDATING THE NEW OWNER INFORMATION IN THE ASSOCIATION RECORDS,~~
38 ~~COMMENSURATE WITH THE DIRECT COST INCURRED.]~~

39 ~~D. [G.] [E.]~~ The fees prescribed by this section shall be
40 collected ~~no~~ NOT earlier than at the close of escrow and may only be
41 charged once to a member OR PURCHASER for that transaction between the
42 parties ~~specified in the notice required pursuant to subsection A of this~~
43 ~~section.~~ ~~[ANY PAYMENT SHALL BE MADE DIRECTLY AND ONLY TO THE~~
44 ~~ASSOCIATION.]~~ An association shall not charge or collect a fee relating
45 to services for resale disclosure, lien estoppel and any other services
46 related to the transfer or use of a property except as specifically
47 authorized in this section. An association that charges or collects a fee

1 in violation of this section is subject to a civil penalty of not more
2 than ~~one thousand two hundred dollars~~ \$1,200.

3 ~~F.~~ [H.] [F.] This section applies to a managing agent for an
4 association that is acting on behalf of the association.

5 ~~[I. FOR THE INITIAL SALE OF A PROPERTY FROM THE DECLARANT, THE~~
6 ~~DECLARANT SHALL PROVIDE TO ANY PURCHASER WITHIN THE TIME PRESCRIBED BY~~
7 ~~SUBSECTION A OF THIS SECTION THE DOCUMENTS PRESCRIBED IN SUBSECTION A,~~
8 ~~PARAGRAPHS 1, 2 AND 10.]~~

9 ~~F.~~ [J.] [G.] The following are exempt from this section:

10 1. A sale in which a public report is issued pursuant to section
11 32-2183 or 32-2197.02.

12 2. A sale pursuant to section 32-2181.02.

13 3. A conveyance by recorded deed that bears an exemption listed in
14 section 11-1134, subsection B, paragraph 3 or 7. On recordation of the
15 deed ~~and for no additional charge~~, the ~~member~~ PURCHASER shall provide the
16 association with the changes in ownership, including the member's name,
17 billing address and phone number. Failure to provide the information
18 shall not prevent the member from qualifying for the exemption pursuant to
19 this section.

20 ~~G.~~ [K.] [H.] For the purposes of this section, unless the context
21 otherwise requires [L.] [I.]

22 ~~[1. "ASSOCIATION" INCLUDES ANY MASTER AND LOCAL ASSOCIATION WITH~~
23 ~~RECORDED COVENANTS AFFECTING THE PROPERTY, AS APPLICABLE.]~~

24 ~~2.]~~ "Member":

25 [~~(a)~~] [1.] Means the seller of the ~~unit~~ PROPERTY title. ~~and~~
26 ~~excludes~~

27 [~~(b)~~] [2.] DOES NOT INCLUDE:

28 [~~(1)~~] [(a)] Any real estate salesperson or real estate broker who
29 is licensed under title 32, chapter 20 and who is acting as a salesperson
30 or broker. ~~;~~

31 [~~(2)~~] [(b)] Any escrow agent who is licensed under title 6,
32 chapter 7 and who is acting as an escrow agent. ~~and also excludes~~

33 [~~(3)~~] [(c)] A trustee of a deed of trust who is selling the
34 property in a trustee's sale pursuant to chapter 6.1 of this title.

35 Enroll and engross to conform

36 Amend title to conform

And, as so amended, it do pass

JEFF WENINGER
CHAIRMAN

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02/18/2026

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C: MR; H: ra

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